Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions(MDIs)

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Abstract

I study the location choices of mission-oriented community banks, Minority Depository Institutions (MDIs) and their proximity to historically segregated urban areas, with a history of restricted mortgage activity and racially discriminatory lending. To achieve this, I construct a panel data and apply an Generalized Estimating Equation (GEE) framework to investigate whether MDIs are more likely to locate in historically "redlined" urban areas, based on Home Owners' Loan Corporation's (HOLC) "Residential Security Maps" when compared to non-MDIs. I find Black MDIs are 9-14 percent more likely to locate in census tracts for each one point increase in their HOLC scores whereas non-MDI bank branches are 10-11 percent less likely to locate in tracts for each one point increase in their HOLC scores. Black MDIs, Asian MDIs and non-MDIs also have neighboring census tracts with higher HOLC scores, whereas Hispanic MDIs are less likely to locate near census tracts with higher HOLC scores.

JEL Classification Codes: G20, G21 , R12

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